Analyst Reflection: ExxonMobil or Chevron When the War Premium Fades

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1 HOW I USED AI

I used Claude (Anthropic), a general-purpose assistant, running in a coding environment with web search and Python. It was not a finance-specific product. It suggested the ExxonMobil versus Chevron scope, searched for current data (its built-in knowledge stopped before the period I analyzed), wrote and ran the Python scenario model and charts, and drafted most of the report text. My role was deciding at the points where the analysis could go different ways, checking the numbers the conclusion depends on, and choosing the recommendation I was willing to sign.

2 WHERE I PUSHED BACK

Choosing the baseline. The tool's first pass worked from the latest quarter, but Q2 2026 cash flow was about $19 billion (Exxon) and $23 billion (Chevron) a year higher than oil prices alone explain. Of the options it laid out, I rejected company guidance because Chevron's sub-$50 breakeven claim is what the report needed to test, not assume, and I rejected the Q2 run rate because it treats wartime refining margins as permanent. I chose 2025 results plus a Hess adjustment.

Challenging the draft. After the first draft I had the AI list the weakest points it could see, and I made the call on each. The most important was Figure 2. It compared Exxon's breakeven with a $20 billion buyback against Chevron's with a $10 billion buyback, but those are 2.8% and 2.3% of market value. The smaller Chevron program made the two companies look closer than they are. I had the model test both at the same 2.8%, and Chevron's breakeven rose by about $3 a barrel. I also would not let one EIA number stand as “the” peace price, because the EIA raised its fourth quarter forecast by $14 in a single month. The report now calls $74 one input and leans on the bracketing scenarios. The Hess adjustment used a $0.10 billion per $1 sensitivity the AI had simply assumed. I kept it but required the report to flag it and show that zero or double moves Chevron's breakevens by only about $1. Finally, I kept Exxon's Middle East recovery central despite the damaged Qatar trains, because peace implies an

eventual restart and the risk section already shows what happens if it never comes (Exxon's yield at $74 falls to 4.5%).

3 HOW I IMPROVED THE WORK

The question changed. I started with a generic "which major is better" comparison. The first data pulls showed Brent averaging $114 in September because of the Iran conflict, and the EIA forecasting a fall to $74 by late 2027. That turned the question into which company still earns its share price after the war premium fades.

A better metric replaced a misleading one. Annualized quarterly cash flow became a normalized model. Chevron's large apparent discount shrank to a narrow lead: 5.2% versus 4.9% at $74.

Fairness fixes. I added the missing months of Hess for Chevron (+$2.9 billion), modeled Exxon's Middle East output returning in peace, and stress-tested the case where it does not. I also corrected a label that called Exxon's sensitivity an after-tax cash flow figure, which its source does not support.

4 WHAT I VERIFIED

Verification mattered more than usual here, because the AI tool could not open SEC filings, EIA pages or company websites from its environment. Every figure reached it through search engine summaries, and those summaries sometimes disagreed. For example, Chevron's 2025 operating cash flow came back as both $33.9 billion and $34.9 billion. Chevron's Q2 free cash flow appeared as both $15.4 billion (company-adjusted) and $18.1 billion, and its market value ranged from $405 billion to $427 billion depending on the site.

Every derived number was recomputed in code rather than typed by hand. I then pulled the original documents myself: Chevron's Q2 2026 release and 10-Q, Exxon's 2025 results release, and Exxon's Q2 2026 earnings slides. I had the AI extract the tables from them and compare them with the draft. I read the Chevron sensitivity sentence in the 10-Q myself: about $600 million of after-tax earnings and cash flow per $1 of Brent, which matched. Exxon's 2025 cash flow ($59.7 billion), free cash flow ($26.1 billion) and distributions ($37.2 billion) all matched to the decimal, and its sensitivity page confirmed $700 million per $1 of Brent. That page also showed $800 million per $1 of refining margin, which I added to the report because it explains much of the Q2 cash surge.

Two checks failed. First, the draft said Exxon lost about $1.3 billion of upstream earnings to Middle East volumes in Q2. Exxon's slides show $1.28 billion for the whole first half, which puts Q2 near $1.03 billion; a news summary had relabeled a six-month figure as a quarter. Second, and more important, the draft used $33.9 billion for Chevron's 2025 cash flow excluding working capital. Chevron's fourth quarter release shows $34.9 billion. The $33.9 billion was the line above it, cash flow including working capital. That $1 billion moved Chevron's peace-case yield from 4.9% to 5.2% and its breakeven from $62 to $60, and it changed my recommendation (Section 6). I did not check the October 13 share prices, so those remain secondary-source figures.

5 THE AI TOOL'S WEAKNESSES

Out-of-date knowledge presented confidently. When I picked the topic, the tool described the comparison as having "one dominant driver (oil price)" and did not know a war had pushed Brent above $100. I noticed this when the first search showed September Brent at $114. It mattered because the original framing would have produced a stale report. The fix was a rule that every current fact must come from a dated 2026 source. That worked for facts, but the tool's framing still reflected its older picture of the industry until the data forced a rethink.

No access to primary sources. The tool's environment blocked the SEC, EIA and company sites, so it worked from search summaries that conflicted, took numbers from the wrong table row, and sometimes cited secondary blogs. It flagged some conflicts but still built clean-looking tables from them. I gave priority to company-reported definitions, derived market values myself, and checked the key inputs by hand. That reduced the risk without removing it.

Treating a recent quarter as representative. Its first instinct was to annualize Q2 2026, overstating normal cash flow by roughly a quarter (Section 2). The normalized model fixed this but swapped in a different assumption (Section 7).

False precision. The model reports breakevens like "$60" to the dollar, but Chevron's figure depends partly on a Hess oil price sensitivity of $0.10 billion per $1 that the tool assumed and could not source. The report says a $1 billion error moves a breakeven by $1.40 to $1.70, so readers can see how soft those figures are.

6 WHERE MY THINKING CHANGED

My recommendation changed twice. Headline numbers made Chevron look much cheaper. Once I normalized the cash flows, the draft showed the two stocks tied at $74, and I leaned toward Exxon because it falls less when oil drops and gets its Middle East barrels back in peace. Then the spot-check on Chevron's 2025 cash flow found the draft $1 billion too low. With the correct figure, Chevron yields more in three of four scenarios, even with no credit for Tengiz growth, so I switched to Chevron. The bigger lesson is about conviction. A call that one corrected input can flip is a narrow call, and the report now says plainly that Exxon is the better choice for anyone expecting oil below about $67.

7 WHAT REMAINS UNCERTAIN

I have the least confidence in the 2025 baseline. It treats 2025 as normal and ignores both companies' growth since then, apart from Hess. That penalizes Chevron in particular, because its Tengiz expansion was ramping up during 2025, and it is the main reason my Chevron breakeven ($60) sits about $10 above management's sub-$50 claim. If management is right, my recommendation gets stronger. If Chevron's normal cash flow is below my $37.8 billion, the lead disappears. The next step is the late October third quarter reports: take Chevron's Q3 operating cash flow, back out the oil price effect using its $0.60 billion sensitivity, and compare the result with $37.8 billion.

8 WOULD I STAND BEHIND THIS REPORT?

Yes, as a relative call, with moderate conviction. I would defend “prefer Chevron over Exxon for an investor who wants integrated oil exposure and accepts the EIA's price path,” because Chevron yields more in three of four scenarios and pays the higher dividend even under a model that is conservative toward it. I would also tell the committee that the lead is narrow, that Exxon is the safer stock below about $67 oil, and that the call already flipped once on a single corrected input. I would not put my name on a broader “buy energy now” call, because both stocks have rallied on cash flows the EIA expects to be temporary. Before committing real capital I would want the third quarter results and every input in Table 1 checked against the original filings.